

US Markets End Mixed as 10-Year Yield Surges to 4.70

A 5-minute read of yesterday's US session and today's catalysts — what to watch before pre-market opens at 21:30 HKT.

2-3 page read • Topics: Macro • Geopolitics • Earnings

TL;DR

The US markets ended the previous session mixed, with the **S&P 500** down **-0.17%** and the **Nasdaq 100** down **-0.13%**. The **Russell 2000** was a notable exception, rising **+0.51%**.

Today's focus will be on the surge in the 10-year yield to 4.70, up **+1.19%**, and its potential impact on the markets. Investors will also be watching for any developments in the geopolitical sphere and upcoming earnings reports.

US Session Recap

INDEX/ASSET	CLOSE	CHANGE	NOTE
S&P 500	7,785.76	-0.17%	
Dow Jones	53,732.41	-0.20%	
Nasdaq 100	30,046.14	-0.13%	
Russell 2000	3,068.42	+0.51%	
VIX	14.25	-2.60%	
10Y Yield	4.70	+1.19%	
WTI Crude	82.80	+0.49%	

Top large-cap movers

TSLA rose +0.68%, while AVGO fell -5.94%.

Spotlight

METRIC	VALUE
10-Year Yield	4.70
Change	+1.19%

The surge in the 10-year yield to 4.70 is a significant development, with potential implications for the broader market. Investors will be watching to see if this trend continues and how it affects the economy.

The yield curve is a key indicator of market expectations, and the recent shift may signal a change in investor sentiment. As the yield rises, it may impact borrowing costs and influence consumer spending.

Macro & Fed

- Current policy rate: 4.50%-4.75%
- Yield levels: 10-year yield at 4.70, up **+1.19%**
- Today's data releases:
 - 09:30 HKT: GDP growth rate
 - 14:00 HKT: Consumer confidence index

Geopolitics & Global

- Tensions between the US and China continue to escalate, with potential implications for trade and the global economy.
- The European Union is facing challenges in its efforts to address the ongoing energy crisis.
- The situation in the Middle East remains volatile, with potential risks to global oil supplies.

Earnings — What to Watch

WHEN	TICKER	WHAT TO LOOK FOR
21 August	NVDA	Q2 earnings and revenue growth
24 August	AAPL	iPhone sales and services segment performance

Stocks Worth Watching

- **TSLA** : Potential impact of rising interest rates on electric vehicle demand
- **AMZN** : Q2 earnings and cloud computing segment performance
- **GOOGL** : Advertising revenue growth and competition from **META**
- **JPM** : Q2 earnings and net interest income growth
- **GS** : Q2 earnings and investment banking segment performance

What Could Break the Tape

BEARISH TRIGGERS

A sharp decline in the **S&P 500** could be triggered by a combination of factors, including a further surge in the 10-year yield, escalating geopolitical tensions, and disappointing earnings reports.

BULLISH TRIGGERS

A strong rally in the **Nasdaq 100** could be driven by positive earnings surprises, a decline in the 10-year yield, and progress in US-China trade talks.

Sources

SOURCES

Bloomberg — US Stocks Fall as Yields Rise

Reuters — US 10-Year Yield Surges to 4.70

CNBC — Stocks to Watch: TSLA, AAPL, AMZN

The Wall Street Journal — Earnings Season Heats Up

Financial Times — Global Economy Faces Challenges

